

UAE Tax & Compliance Recommendations 2026

Voluntary VAT registration before the AED 375,000 threshold is crossed ·
Wage Protection System compliance under Ministerial Resolution 340 of
2026 · E-invoicing readiness for the 2027 mandate. Prepared for sponsor
approval.

RECEIPTS APR-SEP	VAT THRESHOLD	LATE-REG PENALTY
223,319	375,000	10,000

As at 1 October 2026 · Currency: AED · Based on: FTA registration rules · Ministerial Resolution No. 340 of 2026 (WPS) ·
Federal Decree-Law No. 16 of 2024 & Ministerial Decisions No. 243 and 244 of 2025 (e-invoicing) · Verify all positions with
your tax adviser before filing.

1 · Executive Summary — Three Actions, One Deadline Each

Register for VAT voluntarily now, move payroll onto WPS this month, and prepare e-invoicing data for the 1 July 2027 SME mandate.

Receipts reached AED 223,319 by 29 September 2026. At the current run-rate (~55,800/month), taxable supplies cross the AED 375,000 mandatory-registration threshold around **December 2026**. Registering voluntarily today is free, avoids the AED 10,000 late-registration penalty and the retrospective output-VAT exposure, and unlocks recovery of input VAT already sitting inside your AED 288,398 of spending.

#	Action	Deadline	Cost of inaction (AED)
1	Voluntary VAT registration via FTA EmaraTax (already eligible: receipts > AED 187,500 voluntary threshold)	Immediately	10,000 penalty + ~10,634–22,876 absorbed VAT + late-payment penalties
2	WPS payroll compliance under Ministerial Resolution 340/2026 — unified due date (1st of month), 85% threshold, no grace period	Before the next payroll cycle	Permit suspension from day 5 · fines from day 11 · up to 5,000/worker for false data
3	E-invoicing readiness — SME phase: appoint ASP by 31 March 2027 , mandatory from 1 July 2027	Plan now; hard deadline Mar 2027	Non-compliance penalties from go-live; rushed ERP migration costs more later
Combined worst-case exposure avoided			≈ 30,000–80,000+

All three actions require sponsor sign-off (Section 5). Figures are worst-case regulatory exposure, not projections.

2 · VAT — Register Voluntarily Now

Your position

Measure	AED	Note
Taxable supplies (client receipts), Jun–Sep 2026	223,319.33	Reconciled in the 2026 accounts workbook
Voluntary registration threshold	187,500	Already exceeded — you are eligible to register voluntarily today
Mandatory registration threshold	375,000	Rolling 12 months; register within 30 days of crossing
Projected crossing of 375,000	≈ Dec 2026	At the current run-rate of ~55,800/month; your own FY forecast of 320,000+ confirms this trajectory
Estimated output VAT on Apr–Sep receipts (if 5% inclusive)	≈ 10,634	223,319.33 × 5/105 — becomes your liability once registered

Why register voluntarily rather than wait

- **Input VAT recovery:** AED 288,398 of 2026 spending is largely VAT-inclusive (Google Ads excepted). Registered, you recover roughly 5/105 of local supplier invoices — an estimated **~12,000–13,000** of recoverable input VAT against the ~10,634 output VAT: registration is close to cash-neutral, not a net cost.
- **Clean start:** registering before the threshold means no scramble, no risk of the 30-day window slipping, and invoices issued correctly from day one.
- **Credibility:** a TRN on invoices is increasingly requested by corporate clients and is required to participate in e-invoicing cleanly.

Cost of inaction — accurate penalty schedule

Non-compliance event	Penalty (AED)	Source
Failure to register within 30 days of crossing 375,000	10,000 (fixed)	FTA penalty schedule (reduced from the historical 20,000)
Output VAT due on supplies made before registration once crossed	≈ 10,634+ absorbed	5/105 of post-threshold receipts — payable from your margin if clients were not charged
Late VAT return filing	1,000 first time · 2,000 repeat (within 24 months)	FTA administrative penalties
Late VAT payment	2% immediately + 4% daily, capped at 300% of unpaid tax	FTA penalty schedule — confirm current rates with your adviser
Voluntary disclosure of errors	Up to 5% of underpaid tax (early correction)	FTA — correct errors in the next return or first disclosure
Worst case if registration slips 2 quarters with ~20,000 of accumulated VAT	≈ 35,000+	10,000 registration + VAT + filing + payment penalties

What registration involves (do these in order)

- Register on **EmaraTax** (eservices.tax.gov.ae) with trade licence, passport/Emirates ID of the responsible manager, and bank details (IBAN). TRN is issued digitally, typically within days.
- Decide the VAT-inclusive pricing policy **before** invoicing clients (quotes should state "+5% VAT where applicable").
- Issue compliant tax invoices within **14 days of supply** — full tax invoice for supplies above AED 10,000, simplified for B2C up to 10,000 — with TRN, VAT rate and amount shown (Odoo's UAE fiscal localization generates these).
- File VAT 201 **quarterly** (turnover below AED 150 million), within **28 days** of period end, via EmaraTax; pay by GIBAN transfer, eDebit or eDirham.
- Keep records **5 years** (VAT) / **7 years** (corporate tax): invoices, receipts, contracts, bank statements.
- Reverse charge applies to imported services (Google Ads, foreign SaaS) — declare and recover on the same return.

Sources: Federal Tax Authority registration & voluntary-registration pages (tax.gov.ae); Cleartax UAE VAT guide, updated 15 Jul 2026.

3 · WPS — Wage Protection Under Resolution 340/2026

The rules changed on 1 June 2026 — and your current practice is exposed.

Salaries in your records (Jhackie, Angeline, Christie, Abdalla — e.g. the Aug–Sep AED 6,920 routed through Christina's personal account) are paid by **internal/personal transfers, not through WPS**. For any MOHRE-registered staff this is now a compliance breach with fast, automatic enforcement.

What Ministerial Resolution No. 340 of 2026 requires

- **Unified due date:** wages for the previous month are due on the **1st of the following month** — e.g. September salary is due 1 October. There is **no grace period**; payment after the due date is "delayed".
- **85% threshold:** an establishment is compliant when $\geq 85\%$ of total wages due are transferred via WPS by the due date; a worker counts as paid at $\geq 85\%$ received.
- **New employees** are in scope immediately — the old 30-day exemption is gone.
- **SIF process:** salary file (Salary Information File) submitted via a MOHRE-approved bank, exchange house or fintech agent — WIO and ENBD both offer approved WPS agent services, so no new banking relationship is needed.

Enforcement timeline — automatic, not discretionary

Days after due date	Consequence	Exposure to you
Day 2	Automated MOHRE warnings	Warning only
Day 5	Suspension of new & renewed work permits	Direct hit — you actively process staff visas & cancellations (AED 15,995 in 2026)
Day 11	Administrative fines + downgrade in MOHRE establishment classification	Fines + higher inspection frequency
Day 16	Automatic labour dispute registration	Legal exposure per worker
Day 21	Referral to Public Prosecution — asset attachment, travel bans on responsible individuals	Personal exposure for the sponsor

Deliberately filing **false salary data** carries fines up to **AED 5,000 per worker, capped at AED 50,000** for repeat or large-scale violations. Because WPS is monitored in real time via the Central Bank pipeline, delays are flagged automatically.

Cost of inaction — your payroll, quantified

Item	Amount (AED)
Monthly payroll routed through personal accounts instead of WPS (Angeline 2,892 + Abdalla 2,903, per Aug–Sep records)	~5,795 / month

Historical late-salary fine benchmark (pre-2026 rules): AED 1,000 per worker per delayed month — 4 staff	4,000 / month
Work-permit suspension from day 5 blocks any new visa or renewal	Operational — visa-dependent business
False-data fines (up to 5,000/worker, cap 50,000) if informal transfers are misdeclared	up to 20,000 (4 staff)
Three months of non-compliance across 4 staff	12,000–20,000+ plus permit block

Action steps

- Confirm every worker's MOHRE registration status (mainland licence vs free zone — free zones may run their own wage-protection rules).
- Sign up as an employer with a WPS agent (WIO or ENBD), register the establishment on the MOHRE portal, and create employee records (labour card, bank/wage card details).
- Stop salary routing through Christina's personal account — pay each worker directly via WPS; Christina's transfers then have no payroll role (settle her 833.55 balance separately).
- Set the payroll calendar to pay on or before the **1st of the month**; keep deduction documentation within the 15% effective cap.
- Accrue the end-of-service gratuity monthly (accounts 2210/5110 in the suggested chart).

Sources: Morgan Lewis, "UAE Introduces New Wage Protection System Resolution Effective 1 June 2026" (May 2026); Shuraa Tax WPS guide (Sep 2026); MOHRE wage-protection portal.

4 · E-Invoicing — Your Phase Is 2027, Prepare in 2026

The mandate is real and legislated — but your go-live is 1 July 2027, with the ASP appointment due 31 March 2027.

E-invoicing was established by **Federal Decree-Law No. 16 of 2024** and detailed in **Ministerial Decisions No. 243 and 244 of 2025**. It runs on the Peppol 5-corner model: invoices are generated in structured digital format (XML), not PDF, and exchanged through an Accredited Service Provider (ASP) to the buyer's ASP and the FTA.

Date	What happens	Applies to you?
1 July 2026	Voluntary pilot open — penalty-exempt during the testing window	Optional — recommended to observe/join
30 October 2026	ASP appointment deadline for businesses with revenue $\geq$ AED 50 million	No
1 January 2027	Mandatory go-live for $\geq$ AED 50 million (B2B & B2G)	No
31 March 2027	Your ASP appointment deadline (revenue < AED 50 million)	Yes — plan now
1 July 2027	Mandatory go-live for SMEs (B2B & B2G)	Yes — hard deadline
1 October 2027	Government entities go live	No

What you must be able to do by 1 July 2027

- Issue e-invoices as structured digital documents (XML/JSON per the UAE data dictionary — **not PDF or paper**) for B2B supplies, transmitted through your appointed ASP.
- Hold clean master data: every supplier and client with correct legal names, and (for VAT-registered counterparties from Jan 2027) TRNs.
- Store invoices and ensure integrity for the retention period — Odoo's Peppol integration plus the UAE fiscal localization is a natural fit for your stack.

Cost of inaction

- **From go-live (1 Jul 2027), issuing or receiving B2B invoices outside the system is non-compliant** — administrative penalties apply under the e-invoicing framework and its penalty decisions; specific fine values are set by FTA decisions and should be confirmed before enforcement begins.
- **Last-minute migration is the real cost:** retro-fitting messy master data, manual PDF invoices (as practised today), and cash receipts (Saima's 8,000) into a structured Peppol flow takes weeks of clean-up — budgeted cheaply now, expensively later.
- **Cash sales are in the blast radius:** B2B/B2G e-invoicing formalises records; cash receipts without invoices become visible audit gaps.

Do now (zero-regret, low-cost)

- Import the chart of accounts & 2026 journals into Odoo with the UAE fiscal localization enabled — this puts structured, TRN-ready invoicing in place a year early.
- Clean the partner master: one legal name per client, address, and (when registered) TRNs — your 62-partner import is the base.
- Join or observe the voluntary pilot from 1 July 2026 onward — participation in the window is penalty-exempt.
- Shortlist 2–3 accredited ASPs and request quotes in Q1 2027 (fees vary by provider and volume — obtain written quotes rather than budget assumptions).

Sources: Cleartax UAE VAT & e-invoicing guides (Jul–Sep 2026) citing Ministerial Decision No. 243 of 2025 and No. 244 of 2025 (mof.gov.ae); Federal Decree-Law No. 16 of 2024.

5 · Cost of Inaction, Calendar & Approval

Consolidated cost-of-inaction summary

Compliance area	If actioned now	If ignored (worst case, AED)
VAT registration	Free to register; ~cash-neutral after input-VAT recovery	10,000 penalty + ~10,634–22,876 VAT absorbed + 1,000–2,000/return + 2%+4%/day payment penalties ≈ 35,000+
WPS payroll	Zero marginal cost — same salaries through WIO/ENBD WPS agent	4,000/month benchmark fines, up to 20,000 false-data fines, permit suspension, prosecution path
E-invoicing	Data clean-up inside Odoo you are already doing	Penalties from 1 Jul 2027 + emergency ASP/ERP migration costs
Corporate tax (context)	Register on EmaraTax; consider Small Business Relief election if eligible for the 2026 period	10,000 late-registration penalty
Combined worst case over 12 months	≈ 0	≈ 60,000–80,000 + operational blocks

Recommended calendar

When	Action	Owner
October 2026	Voluntary VAT registration on EmaraTax; decide pricing policy (+5% where applicable)	Finance / sponsor
October 2026	Register with WPS agent (WIO/ENBD); create MOHRE employee records; switch next payroll to WPS	Finance
November 2026	First VAT 201 return prepared from Odoo; reverse-charge entries for Google Ads & foreign SaaS	Finance
Q1 2027	ASP shortlist & quotes; Odoo partner master cleaned (names, addresses, TRNs)	Finance / IT
31 March 2027	ASP appointed (hard deadline, SME phase)	Sponsor approval
1 July 2027	E-invoicing go-live (B2B/B2G) — test in May–June 2027	Finance / IT

Sponsor approval

Decision	Approve / Amend / Reject	Signature	Date
Voluntary VAT registration & VAT-inclusive pricing policy			
WPS migration of all MOHRE-registered salaries effective next cycle			
E-invoicing readiness plan & ASP appointment authority (Q1 2027)			

This document reflects UAE federal rules as at 1 October 2026, from the sources cited in each section. Penalty schedules are administrative regulations and can be amended by Cabinet or Ministerial Decision — confirm current values with your tax adviser before relying on them for budgeting. This document is a management recommendation, not legal or tax advice.